THE NATIONAL COMPANY LAW TRIBUNAL

BENCH V, NEW DELHI

CA (CAA)-63/230/232/ND/2021

Under Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

IN THE MATTER OF:

SCHEME OF AMALGAMATION

OF

LIFESTAR PHARMA PRIVATE LIMITED

...(Transferor Company 1 / Applicant No 1)

AND

MAGNET LABS PRIVATE LIMITED

...(Transferor Company 2/ Applicant No 2)

WITH

MANKIND PHARMA LIMITED

...Transferee Company/ Applicant No 3

Order Reserved On : 22.11.2021

Order pronounced On : 03.01.2022

CORAM:

SH. ABNI RANJAN KUMAR SINHA, HON'BLE MEMBER(J)

SH. AVINASH K. SRIVASTAVA, HON'BLE MEMBER (T)

PRESENT

For the Applicants : Ravi Sharma, Advocate

For the Respondent : Advocate Hemlata Rawat & Mr. Ayushmaan Vatsyayana for OL.

MEMO Of PARTIES

In the Matter of Companies Act, 2013

Section 230 to 232

AND

In the Matter of:

LIFESTAR PHARMA PRIVATE LIMITED

Company incorporated under the Companies Act, 1956

Having Registered Office at 208, Okhla Industrial Estate, Phase 3, New Delhi

New Delhi-110020

CIN: U24232DL2004PTC131232

through its authorized signatory

Mr. Prabhat Singh

Email: secretarial.mkd@gmail.com

(Transferor Company 1/ Applicant No 1)

AND

MAGNET LABS PRIVATE LIMITED

Company incorporated under the Companies Act, 1956

Having Registered Office at 208, Okhla Industrial Estate, Phase 3, New Delhi

New Delhi-110020

CIN: U51397DL1998PTC093307

through its authorized signatory

Mr. Sumit Dhawaan

Email: secretarial.mkd@gmail.com

(Transferor Company 2/ Applicant No 2)

AND

MANKIND PHARMA LIMITED

Company incorporated under the Companies

Act, 1956

Having Registered Office At 208, Okhla Industrial

Estate, Phase 3, New Delhi

New Delhi-110020

CIN: U74899DL1991PLC044843

through its authorized signatory

Mr. Pradeep Chugh

Email: pradeep.chugh@mankindpharma.com

(Transferee Company/ Applicant No 3)

ORDER

PER SH. AVINASH K. SRIVASTAVA, MEMBER (TECHNICAL)

1. This application has been jointly filed by the Applicant Companies under Sections 230 and 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, duly supported by separate affidavits of the Applicant Companies, for seeking appropriate directions for dispensing with the holding/convening of the meetings of the respective shareholders and creditors of all the Applicant companies for approval of the proposed Scheme of Amalgamation as contemplated between the Applicant companies. The said Scheme of Amalgamation (hereinafter referred to as the "Scheme") has been placed on record along with the joint application.

2. It is represented that the registered office of all the applicant companies is situated in New Delhi and therefore the subject matter of this joint application falls within the Jurisdiction of this Bench.

3. Transferor Company 1 was incorporated as a Private limited company under the Companies Act, 1956 on 14 December, 2004 in the name and style of **"LIFE STAR PHARMA PRIVATE LIMITED"** with the office of Registrar of Companies, NCT of Delhi and Haryana, under the **CIN. U24232DL2004PTC131232**. Its authorized share capital is Rs. 30,00,000 divided into 3,00,000 equity shares of Rs. 10/- each, while its issued, subscribed, and paid-up capital is Rs. 5,00,000 divided into 50,000 equity shares of Rs. 10/- each.

4. Transferor Company 2 was incorporated as a Private Limited Company under the Companies Act, 1956 on 17th April, 1998 in the name and style of **"MAGNET LABS PRIVATE LIMITED"** with the office of Registrar of Companies, NCT of Delhi and Haryana, under the **CIN. U51397DL1998PTC093307**. Its authorized share capital is Rs. 5,00,000 divided into 50,000 equity shares of Rs. 10/- each, while its issued, subscribed, and paid-up capital is Rs. 4,00,000 divided into 40,000 equity shares of Rs. 10/- each.

5. Transferee Company was incorporated as a Private Limited Company under the Companies Act, 1956 on 3rd July 1991 in the name and style of **"MANKIND PHARMA PRIVATE LIMITED"** with the office of Registrar of Companies, NCT of Delhi and Haryana, under the **CIN. U74899DL1991PLC044843**. On 13th April 2006, the Transferee Company got converted to Public Company from Private Company Its authorized share capital is Re. 410,000,000 divided into 410,000,000 equity shares of Rs. 1/- each, while its issued, subscribed, and paid-up capital is Rs. 400,588,440 divided into 400,588,440 equity shares of Re. 1/- each.

6. With the intent of consolidating the business operations undertaken by the Transferor Company 1, Transferor Company 2 and the Transferee Company, the Board of Directors of said Companies now propose, by way of this Scheme to amalgamate the Transferor Company 1, and Transferor Company 2 with the Transferee Company in accordance with the terms hereof. The amalgamation of the Transferor Company 1 and Transferor Company 2 with the Transferee Company would inter alia have the following benefits:

- *The Amalgamation of three Companies will result in the consolidation of the business operations undertaken by the Transferor Company 1, Transferor Company 2 and Transferee Company*
- *The amalgamation would result into reduction of inter company transactions between the Transferor Company 1, Transferor Company 2 and the Transferee Company*
- *The amalgamation of Companies will result in the consolidation of the value in Transferee Company and align the field-force and support functions in both Transferor companies with Transferee Company*

- *As a result of amalgamation, there would be reduction in number of the companies leading to reduction in compliance requirements*
- *The amalgamation will result in reduction in overheads, administrative, managerial and other expenditure and optimal utilization of various resources due to consolidation of activities*
- *The amalgamation of the companies will lead to greater efficiency in cash management of the Transferee Company and access to cash flow generated by the combined business*
- *The Scheme shall be beneficial and in the best interests of the shareholders and creditors of the Transferor Company 1, Transferor Company 2 and the Transferee Company*

7. It is submitted that the Transferor Company 1 has 2 Equity Shareholders and it has 89 unsecured creditors and No secured creditors as of 30.06.2021. The certificate of chartered accountant in respect of creditors has also been placed on record **(Annexure A-7).** The equity shareholders of the Transferor Company 1 have given their consent affidavit and is placed on record, annexed as **(Annexure A-14).** No objection Certificate of 2 Unsecured Creditor representing 91.29% value of Transferor Company 1 to dispense with the holding of meeting is placed on record. According to the reconciliation of the Unsecured Creditors, an amount of Rs. 2,37,83,879.02/- as on 30.06.2021 is due to 89 unsecured creditors. Out of this, an amount of Rs. 2,17,13,869/- (approx.) is due to 2 unsecured Creditors who have given their consent Affidavit and placed on record. Therefore, in respect of shareholders and unsecured creditors, prayer has been made for issuance of directions for dispensing the convening of the meeting of the shareholders.

8. It is submitted by Transferor Company 1 and certified by Charted Accountant that there is an outstanding balance of Rs. 55,86,36,160.29/- as on 31.03.2021 and Rs. 2,37,83,879.02/- as on 30.06.2021 due to unsecured creditors. Document as to

Reconciliation of Unsecured Creditors of Transferor Company 1 is placed on Record.

9. The Transferor Company 2 has 2 Equity Shareholders and 130 unsecured creditors and no secured creditors as of 30.06.2021. The certificates of chartered accountant in respect of creditors has also been placed on record. **(Annexure A-7)** The 2 equity shareholders of the Applicant Company (Transferor Company 2) have given their consent affidavit and is placed on record, annexed as **(Annexure A-15).** No Objection Certificate of 33 Unsecured Creditor representing 90.75% value of Transferor Company 2 to dispense with the holding of meeting is placed on record. According to the reconciliation of the Unsecured Creditors Amount of Rs. 50,10,87,644.60/- as on 30.06.2021 is due to 130 unsecured creditors. Amount of Rs. 44,89,45,413.41/- (approx.) is due to 33 unsecured Creditors who have given their consent Affidavit and placed on record. In respect of shareholders and unsecured Creditors prayer has been made for issuance of directions for dispensing their respective meetings.

10. It is submitted by Transferor Company 2 and certified by Charted Accountant that there is an outstanding balance of Rs. 38,96,19,304.87/- as on 31.03.2021 and Rs. 50,10,87,644.60/- as on 30.06.2021 due to unsecured creditors. Document as to Reconciliation of Unsecured Creditors of Transferor Company 2 is placed on Record.

11. The Transferee Company has 19 Equity Shareholders and 1699 unsecured creditors and NIL secured creditors as of 30.06.2021. The certificate of chartered accountant in respect of creditors has also been placed on record. **(Annexure A-7 and A-6(colly)).** Transferor Company 1 and 2 are wholly owned subsidiaries of Transferee Company. In respect of equity shareholders, secured creditors and unsecured Creditors prayer has been made for issuance of directions for dispensing their respective meetings.

12. It is submitted by Transferee Company and certified by Charted Accountant that there is an outstanding balance of Rs. 439,85,23,872.78/- as on 31.03.2021 and Rs. 583,72,35,141.42/-is

due to Unsecured Creditors as on 30.06.2021. Document as to Reconciliation of Unsecured Creditors of Transferee Company is placed on Record.

13. It is further submitted that the board of directors of all the applicant companies 1 and 2 vide separate Board meetings, held on 20.05.2021 respectively have unanimously approved the proposed Scheme of Amalgamation and copies of such board resolutions passed there have been placed on record by the companies. **(Annexure A-5, A-9 and A-13)**

14. All the applicants have filed their respective Memoranda and Articles of Associations. The applicants have also filed their latest audited financial statements for the year ending 31.03.2020 and provisional balance sheet as on 31.03.2021 and is placed on record **(Annexure A-3, A-4 for transferor company 1, Annexure A-7, A-8 for Transferor company 2, & Annexure A-11, A-12 for Transferee company)**

15. All the companies have submitted that no investigation proceedings are pending under the provisions of the Companies Act against any of the applicant company. In this regard, a separate affidavit in accordance to Sec 230(2)(a) has been placed on record.

16. The certificates of statutory auditors of all the applicant companies confirming that the accounting treatment in the scheme is in conformity with Section 133 of the Companies Act, 2013 have been placed on record. **(Annexure A-19)**

17. As per the scheme of Amalgamation (Para 1.6 of the Scheme), scheme of Amalgamation shall be effective from April 1, 2021.

18. We have perused the joint applications and the connected documents/ papers filed herewith including the Scheme of Amalgamation contemplated between the Applicant companies. As far as the consent affidavit in respect of the Shareholders is concerned, Consent Affidavit of equity shareholders of Transferor Company 1 and 2 is placed on record but consent of 19 equity shareholders of the Transferee company is not taken. It is seen that Transferee Company is the 99.998% shareholder of Transferor

Company 1 and 99.975% shareholder of Transferor Company 2 and their consent is taken via Board Resolution of Transferee Company with respect to both the Transferor Company 1 and 2. But Transferee Company has 19 different equity shareholders **(Annexure A-16)** whose consent is not taken. It is also not the case that Board of Directors of the Transferee Company hold more than 75% of the shareholdings of the Company and hence their decision would mean consent of more than 75% of the shareholders of the Transferee Company. The Transferee Company has altogether diverse shareholders and the directors of the Board may not be holding more than 75% of the total number of shares of the Transferee Company. Applicant Companies have placed catena of judgements wherein Hon'ble benches all over the country have dispensed the meeting of the shareholders and creditors depending on various factors like "*there shall be no prejudice caused to any of the shareholder or creditor; that the Transferee company is and Transferor companies are wholly owned holding and subsidiary Company; that there is net positive worth of the Transferee company; that there is no dilution in the shareholding pattern of the applicant companies; that more than 90% consent by way of affidavit is present*" **However every case has to be decided on its own facts. In the Present Case, there is no written consent by way of affidavit of the shareholders of the transferee Company. Hence it is necessary to convene the meeting of the shareholders of the Transferee Company who are the ultimate owners of the 3 companies going to be merged.**

19. Consent Affidavit of Unsecured creditors of the Transferor Company 1 and 2 is placed on record but Consent Affidavit of the Unsecured creditor of the Transferee Company is not taken. Out of 89 unsecured creditors of Transferor Company 1, 2 unsecured creditors viz. **Mankind Pharma Limited (Transferee Company) and Ashna Enterprises** representing 91.25% in Value have given their consent. Transferee Company is one of the Unsecured Creditor of Transferor Company 1 and the amount due to Transferee Company as on

30.06.2021 is **Rs. 2,11,31,749.02/- (Total due as on 30.06.2021 is Rs. 2,37,83,879/-)**

20. Out of 130 unsecured Creditors of Transferor Company 2, 33 unsecured creditors have given their consent representing 90.75% in value. Transferee Company **Viz M/s Mankind Pharma Limited** is one the unsecured Creditor of Transferor Company and the amount due to Transferee Company as on 30.06.2021 is **Rs. 27,94,71,811.40/- (Total due as on 30.06.2021 is Rs. 50,10,87,644.60/-)**

21. One Important thing that needs to be noted here is that Transferor Company 1 and 2 are unsecured creditors for the Transferee Company and Amount due to Transferor Company 1 and 2 is **Rs. 86,47,02,525.09/- & Rs, 3,01,024/-.** After the amalgamation proposed, position of the Unsecured creditors in the Transferee Company will be improved and liability of **Rs. 56 crore** approximately shall be extinguished which is favourable for the Unsecured Creditors of the Transferee Company, and their interests shall not be prejudiced rather it will be improved. Hence, meeting of the Unsecured Creditors of the Transferee Company may be dispensed with.

22. Taking into consideration the application filed jointly by the Applicant Companies the following directions are issued:

A. In relation to Transferor Company 1

i. With respect to Equity Shareholders:

Meeting of the 2 equity shareholders is directed to be dispensed with as the 100% written consent has been obtained by way of affidavits for the proposed merger.

ii. With respect to secured creditors:

As there is no secured creditor in the Transferor Company 1, the requirement of convening meeting of unsecured creditors does not arise.

iii. With respect to unsecured creditors:

Meeting of the 89 unsecured creditor is directed to be dispensed with as 91.29% consent has been obtained by way of affidavit for the proposed merger. Therefore, pursuant to the power under

section 230(9) of the Companies Act, 2013, it is directed to be dispensed with. The Consent Affidavit of 91.29% he unsecured creditor has already been placed on record.

B. In relation to Transferor Company 2

iv. With respect to Equity Shareholders:

Meeting of the 2 equity shareholders is directed to be dispensed with as the 100% written consent has been obtained by way of affidavits for the proposed merger.

v. With respect to secured creditors:

As there is no secured creditor in the Transferor Company 1, the requirement of convening meeting of unsecured creditors does not arise.

vi. With respect to unsecured creditors:

Meeting of the 130 unsecured creditor is directed to be dispensed with as 90.75% consent has been obtained by way of affidavit for the proposed merger. Therefore, pursuant to the power under section 230(9) of the Companies Act, 2013, it is directed to be dispensed with. The Consent Affidavit of 90.75% of unsecured creditor has already been placed on record.

C. IN RELATION TO TRANSFEREE COMPANY

i. With respect to Equity Shareholders:

The meeting of Shareholders of Transferee Company is directed to be held through Video Conferencing/Other Audio Visuals Means within 30 days of this order. The Quorum of the meeting shall be 75% in value.

ii. WITH RESPECT TO SECURED CREDITORS:

There are NIL secured creditors in the Transferee Company as on 30.06.2021. Hence, it is directed to dispense the meeting of the Secured Creditors pursuant to the power under section 230(9) of the Companies Act, 2013.

iii. WITH RESPECT TO UNSECURED CREDITORS:

Meeting of 1699 unsecured creditors in the Transferee Company is directed to be dispensed with as the proposed amalgamation is in favour of the unsecured creditors of the Transferee Company.

D. In case the quorum as noted above for the aforesaid meeting is not present at the meeting, then the meeting shall be adjourned by half an hour, thereafter the persons present and voting shall be deemed to constitute the quorum. For the purpose of computing the quorum, the valid proxies shall also be considered, if the proxy in the prescribed form, duly signed by the person entitled to attend and vote at the meeting is filled with the Registered Office of the Applicant Companies at least 48 hours before the meetings. The Chairperson and Alternate Chairperson appointed herein along with the Scrutinizer shall ensure that the proxy registers are properly maintained.

E. **Advocate Milan Singh Negi** (9015332650) is appointed as the Chairperson, **Advocate Prateek Gupta** (8587831043) is appointed as Alternate Chairman and **Mr. Prabhakar**, Practicing Company Secretary (9810011532) as Scrutinizer for the aforementioned meetings in terms of the direction issued herein.

F. The fee of the Chairperson for the aforesaid meetings shall be Rs. 75000/-, The fee of the Alternate Chairperson shall be Rs. 75000/- and the fee of the Scrutinizer shall be Rs. 50000/- in addition to meeting their incidental expenses.

G. The individual notices of the said meetings shall be sent as required and prescribed in terms of Section 230(3) of the Companies Act, 2013 through registered post or speed post or through courier or through e-mail, 30 days in advance before the scheduled date of the meeting, indicating the date, place and time as aforesaid, together with a copy of scheme of amalgamation and a copy of explanatory statement. A part from that notice and other documents shall also be placed on the website of the respective Applicant Companies. The prescribed form of proxy shall be sent along with and in addition to the above documents, any other documents as may be prescribed under the Act.

H. That the Applicant Companies shall publish advertisement with a gap of at least 30 days before the aforesaid meetings, indicating the day, date and the place and time as aforesaid, to be published in Delhi Editions of "Business Standard" English and "Hindustan" Hindi newspapers stating that the Copies of the Scheme, the Explanatory Statement required to be furnish pursuant to Section 230 of the Companies Act, 2013 and the form of proxy shall be provide free of charge at the Registered Office of the Applicant Companies.

I. Voting shall be allowed on the proposed Scheme by voting in person or by proxy or through electronic means or through show of hands as may be applicable to the respective companies under the Act and rules framed there under. The Chairperson shall be responsible to report the result of the meeting to this Tribunal within two weeks of the conclusion of the meeting with regard to the proposed scheme.

J. Notice of this Meeting shall also be served on the following authorities:

a. The Central Government through the office of the Regional Director (Northern Region), Ministry of Corporate Affairs, B-2 Wing, 2nd Floor, Pt. Deen Dayal Antodaya Bhawan, CGO Complex, Lodhi Road, New Delhi-110 003;

b. The Registrar of Companies, NCT of Delhi, Ministry of Corporate Affairs, 4th Floor, IFCI Tower, 61, Nehru Place, New Delhi-110019;

c. The Official Liquidator, Ministry of Corporate Affairs, 8th Floor, Lok Nayak Bhawan, Khan Market, New Delhi-110001;

d. The Income Tax Department, through the Nodal Office- DCIT (High Court Cell), Room No. 428 & 429, Lawyer's Chambers, Block No. 1, Delhi High Court, New Delhi. The notices to Income Tax authorities shall disclose sufficient details like PAN card numbers, ward numbers and assessing officers so that timely and proper reply may be filed;

e. Securities and Exchange Board of India (SEBI)- Plot No.C4-A, 'G' Block Bandra-Kurla Complex, Bandra (East), Mumbai - 400051, Maharashtra;

f. National Stock Exchange of India Ltd. (NSE)- Exchange Plaza, C-1, Block G, Bandra Kurla Complex, Bandra (E) Mumbai – 400 051;

g. Bombay Stock Exchange Ltd. (BSE)- Phiroze Jeejeebhoy Towers, Dalal Street, Mumbai- 400001;

h. Such other Sectoral Regulatory Authorities who may have significant bearing on the operation of the Applicant Companies.

K. All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicants.

L. Accordingly, in terms of the above order, CA (CAA) 63 (ND) of 2021 is allowed.

Sd/-

(AVINASH K. SRIVASTAVA)

3/1/22

Member (T)

Sd/-

(ABNI RANJAN KUMAR SINHA)

Member (J)